KOPI KITA SDN BHD - EQUIPMENT AND FINANCING POLICY

Version 1.0 | Effective 1 July 2026 | Owner: CFO | Approved by: Managing Director

Why we have this policy

We buy vans, roasting and warehouse equipment, point-of-sale terminals and laptops on hire purchase, lease or term finance, and we borrow for new outlets. These agreements are written by financiers and run for three to five years. This policy sets out the rules every hire purchase, lease, equipment finance and loan agreement must meet before anyone at Kopi Kita signs it. If a contract breaks a rule, do not sign it: ask the financier to change it, or get a written exception under Rule F11.

These rules sit alongside the Kopi Kita Contracting Policy. Where both cover the same point, the stricter rule applies. "Financier" means the owner, lessor, lender or bank. Any financing above RM 50,000 needs both the Managing Director and the CFO to sign.

Rule F1. Tell us the real cost

F1.1 The agreement must state the **effective rate** (the true annual cost of the finance) as well as any flat or profit rate, the total amount payable, the number and amount of each instalment, and all fees.

F1.2 For a lease, the agreement must state the total rentals payable over the term and the price to buy the equipment at the end, if any.

F1.3 The rate is **fixed** for the whole term unless it is a floating-rate facility we have agreed to in writing. The financier may not change the rate, the instalment, the late charge or any fee by notice.

Rule F2. No balloon payments

F2.1 The final instalment or final payment may not be more than **2 times** the regular instalment (rounding differences aside).

F2.2 A purchase option at the end of a lease or hire purchase may not cost more than the fair market value of the equipment at that time, and a nominal option price must be fixed in the contract.

Rule F3. Fees and charges

F3.1 The processing or arrangement fee is **1% of the amount financed at most**. We do not pay a separate documentation, handling or insurance-handling fee on top.

F3.2 Late payment charges are **1% a month at most** on the overdue amount only, not capitalised, and not added on top of default interest.

F3.3 We do not pay the financier's legal costs on a solicitor-and-client or full indemnity basis. We pay reasonable costs only after a court order or a notice of default we have failed to put right.

Sample document for testing. All parties are fictional.

Rule F4. Settling early

F4.1 We may settle at any time on **30 days' written notice or less**.

F4.2 For hire purchase and loans, we receive a rebate of the unearned charges calculated by a straight-line or actuarial method that treats every instalment fairly. We do not accept the Rule of 78 or any formula that gives no rebate in the first 12 months.

F4.3 An early settlement fee on a loan is **1% of the outstanding amount at most**.

F4.4 To end a lease early, we pay **no more than 3 months' rental**, not all remaining rentals.

Rule F5. Insurance of our choice

F5.1 We may insure the equipment with **any licensed insurer** that gives cover on the financier's reasonable minimum terms. We do not accept a panel of insurers, an appointed agent, or a requirement that we buy through the financier.

F5.2 If the financier arranges insurance, the premium is shown separately at cost, with no handling fee or mark-up, and we may replace it with our own cover at renewal.

F5.3 If the lessor insures the equipment and the cost is in the rental, our excess is **S$300 or RM 1,000 at most** for each incident.

Rule F6. Default, notice and repossession

F6.1 Before the financier ends the agreement, repossesses or accelerates, it must give us **written notice of at least 14 days** that states what is wrong, and a chance to put it right.

F6.2 After repossession, the financier must sell the equipment for a fair price, give us an account of the sale, credit the net proceeds against the debt, and pay us any surplus. It may not keep the instalments already paid as compensation in addition.

F6.3 Acceleration of the whole balance is allowed only for non-payment that continues after the notice in Rule F6.1, or for insolvency.

Rule F7. No cross-default and no set-off

F7.1 A default under one agreement is not a default under another, and the financier may not combine or set off our bank accounts against its claim.

F7.2 We pay instalments in the amounts due; we do not agree to pay "without any deduction or set-off" where it would stop us from claiming for a failure of the equipment or a mistake in an invoice.

Rule F8. Equipment must work

F8.1 If the equipment is defective or unusable for **more than 14 days** through no fault of ours, the rental or instalments are reduced fairly or suspended until it works, or the equipment is replaced. We do not accept "hell or high water" clauses that make payment unconditional whatever happens to the equipment.

F8.2 We do not give up our rights against the supplier or the financier, and we do not accept a waiver of all defences and counterclaims.

Sample document for testing. All parties are fictional.

Rule F9. At the end of a lease

F9.1 If we return the equipment late, we pay rental for the extra days only, pro rata daily. A lease does not extend automatically, and never for a full new year.

F9.2 The lessor collects the equipment from our premises, or pays the reasonable cost of return if we must send it back. We do not pay return costs to another country.

Rule F10. No personal guarantees

F10.1 No director, shareholder or employee of Kopi Kita gives a personal guarantee or personal indemnity for equipment finance or a company loan, and we do not agree to the financier's right to take action against a director.

F10.2 The financier's security is the equipment or the company's assets only, as the agreement states.

Rule F11. Exceptions

F11.1 An exception to any rule in this policy needs the written approval of the CFO and the Managing Director, with the reason recorded in the contracts register. Exceptions to Rules F6, F7 and F10 also need advice from our external lawyers before signing.

F11.2 This policy is reviewed every year by the CFO.

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